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Storage economics: what actually gets paid for

Battery storage · as of October 2026 · a dated snapshot, not a forecast

Battery storage gets built where a revenue or financing rule pays for what it does. Cost and chemistry stopped being the binding constraint some time ago.

THE SHORT VERSION

Battery hardware is cheap and the technology is proven. That stopped being the question for most of 2026. What decides whether a storage project gets built is whether some rule pays for the job the asset does: a frequency product, a capacity contract, a duration-weighted accreditation, an offtaker willing to sign, or a discount rate the project can survive while it waits in the queue. Where that rule exists, storage gets built quickly. Where it doesn't, you get unpaid batteries, solar that can't be financed, and gas peakers paid to sit idle.

WHERE IT STANDS NOW

- **Spain:** the European Commission approved a capacity market worth roughly €9 billion, open to generation, demand response and storage (energy-storage.news, May 2026). The ministry announced the order on September 16, 2026, with contracts of up to 15 years for new investments (ESS News, September 17, 2026). No first-auction date had been published by late October 2026. Analysts say de-rating factors will decide what batteries actually earn from it.
- **Britain:** Ofgem's minded-to decision on June 26, 2026 shortlisted 16 long-duration projects, about 7.65 GW with 8 to 22 hours of storage, for cap-and-floor support. Final awards are expected this autumn (Hill Dickinson, Foot Anstey). As of late October 2026 I have not seen final determinations.
- **US rules:** Treasury's interim FEOC guidance (Notice 2026-15, February 2026) sets a 55% material-assistance threshold for storage that begins construction in 2026. Tax counsel say it leaves open questions on recapture and contract-level control (Morgan Lewis, March 2026).
- **US build:** Wood Mackenzie and ACP reported a record 18.9 GWh deployed in Q2 2026, and withdrew an earlier contraction forecast because projects were rushing to secure tax-credit safe harbor (ESS News, October 1, 2026). The pace of the build is again being set by a rule's calendar.

IF YOU'RE BUILDING OR FINANCING HERE

- **Underwrite by rule, not by spread.** For each market, write down which services are paid, which are contracted, and how your duration is accredited.
- **Price the wait.** Re-run queue time at today's discount rate.
- **Treat FEOC as a bankability item.** Supplier certification and contractual risk allocation now sit next to the cell price in diligence.
- **Answer the firmness question before it's asked.** Say which hours you cover and what accreditation you hold, and claim nothing you aren't paid for.
- **Show up while rules are written.** Spain's auction design, Britain's second window and California's solicitation are being set now.

> **The question I'd want answered first: If your next financing close lands before Spain sets its de-rating, what are you underwriting duration on?**

WHAT TO WATCH

- Do Ofgem's final Window 1 cap-and-floor awards confirm the 16 shortlisted projects on the minded-to terms, and do they land before year-end 2026?

If this bears on a decision you're making. A 30-minute call is for one thing: you bring the decision and its date, and we'll tell you what this read changes about it, and what it can't tell you. If the honest answer is that you don't need us, we'll say so. Book at cortexmomentum.com.

Cortex Momentum is an energy and cleantech market-intelligence advisory. The full read, with dated posts and sources: cortexmomentum.com/interconnect/threads/storage-what-gets-paid-for.
Built from my published LinkedIn posts on this thread (April to October 2026), read against the filings and reporting cited above. Engagement is attention, not demand. Sources as of October 2026.